

INTERNAL AUDIT REPORT

Lends-Up Financial Services Ltd

Auditee	Tumumanye Oscar
Position	Loans Officer
Branch	Entebbe – Abaita Ababiri Trading Centre
Audit Period	February 2026 – May 2026
Date of Absconding	4th May 2026
Report Date	10 May 2026

1. Background

Tumumanye Oscar was employed by Lendsup Financial Services Ltd as a Loans Officer stationed at the Entebbe – Abaita Ababiri Trading Centre branch. His duties included recruiting clients for loans, inspecting client businesses to minimize default risks, assisting clients in completing loan application forms, disbursing loan amounts, collecting daily loan repayments, reporting collections to the office cashier, and preparing daily reports.

2. Audit Findings

Following a review of loan transactions, client documentation, cash disbursement records, repayment records, and client verification exercises conducted for the period February 2026 to May 2026, the following findings were established:

- The Loans Officer, Mr. Tumumanye Oscar, abused his position and access to the company loan processing system to fraudulently process loans for personal benefit.
- Loan application forms relating to several investigated accounts were found to contain forged and/or falsified client information.
- A number of loan accounts were processed in the names of clients who, upon verification, denied having applied for or received the respective loans.
- Several telephone contacts captured on the investigated loan application forms were found to be invalid, unreachable, or falsely recorded.

- Audit verification established that in certain instances, loan amounts processed and disbursed exceeded the amounts allegedly requested by the purported clients.
- Physical field verification conducted by the branch supervisor confirmed that a number of previous clients had completed their earlier loan obligations and had not applied for subsequent loans reflected in the system.
- Review of repayment records further revealed instances where client repayments collected by the Loans Officer were not fully reported and/or remitted to the office cashier as required under company procedures.
- During the course of the field verification and audit investigations, Mr. Tumumanye Oscar absconded from duty on 4th May 2026 without authorization and failed to return to work thereafter.
- Based on the evidence obtained through document examination, cash-out verification, telephone interviews, field investigations, and repayment reconciliation, the audit established reasonable grounds to conclude that fraudulent ghost loans were intentionally created and processed by the Loans Officer.
- The audit established a total financial loss exposure of UGX 16,139,000 affecting 92 client accounts.

3. Audit Process

- Loans issued between February 2026 and May 2026 were subjected to audit verification.
- Cash-out audits were conducted to verify loan disbursement authenticity.
- Phone call confirmations were made to clients listed under the investigated loans.
- Most phone numbers provided during loan application processing were unreachable or invalid.
- Clients who were successfully contacted confirmed that they had neither applied for nor received the investigated loans.
- The branch supervisor was instructed to carry out physical field verification of the affected clients.

- Field verification confirmed that several old clients had completed their previous loans and had not requested new loans.
- During the field verification exercise, the Loans Officer absconded from duty on 4th May 2026.

4. Audit Conclusion

Based on the audit evidence gathered, it was concluded that Mr. Tumumanye Oscar intentionally and fraudulently processed ghost loans and diverted company funds for personal use. The investigation also established that in some instances, he failed to report client repayments to the office. The total confirmed financial loss attributable to the fraudulent activities amounts to UGX 16,139,000 affecting 92 clients.

5. Recommendations

1. Immediate recovery efforts should be initiated through police intervention and/or mediation to recover the stolen funds.
2. Field officers should no longer directly disburse loan funds to clients without supervision.
3. Managers and supervisors should escort field officers during loan disbursement exercises or require clients to collect funds directly from the office.
4. Surprise field audits should be conducted regularly to strengthen accountability.
5. Frequent phone call verifications should be carried out for both new and existing clients.
6. Special field audits should be undertaken for clients whose phone numbers fail to go through.
7. Clients should receive automated SMS notifications upon loan repayment and loan disbursement.
8. Clients should be sensitized to always contact the office directly for loan applications, balances, and payment confirmations.

6. Declaration

We hereby declare that this audit investigation was conducted in accordance with the internal audit and verification procedures of Lendsup Financial Services Ltd. The findings contained in this report are based on documents reviewed, client verification exercises conducted, cash reconciliation procedures performed, and information obtained during the audit process.

To the best of our knowledge and professional judgment, the information presented in this report is true, accurate, and supported by the audit evidence obtained during the investigation.

This report is prepared for internal administrative action, recovery processes, disciplinary action, mediation, and/or legal proceedings where applicable.

7. Appendices attached: Affected Clients, Loan Disbursement Confirmation, Company license, Forged Loan Application Forms

Affected Clients and Shortage Amounts

NAMES	LOAN DATE	LOAN AMOUNT(UGX)	SHORTAGE AMOUNT(UGX)
KABUYE JONATHAN	02/05/2026	300,000	290,000
NAMAKOYE JENNIFER	30/04/2026	240,000	120,000
MUGERWA WILLY	30/04/2026	600,000	540,000
SENTAMU MUHAMMED	29/04/2026	360,000	293,000
NANSONGA MILLY	29/04/2026	300,000	120,000
BYARUGABA ISAAC	29/04/2026	600,000	520,000
SENFUKA RONALD	28/04/2026	600,000	500,000
NAMBI SCOVIA	28/04/2026	360,000	304,000
NAMBATYA ROBINA	28/04/2026	480,000	448,000
BYAKATONDA PATRICK	28/04/2026	360,000	297,000
NAKKU TEOPISTA	27/04/2026	300,000	100,000
NAMPIJJA AMINAH	26/04/2026	360,000	340,000
MUTUME SAM	26/04/2026	300,000	230,000
ACAN WILLY	26/04/2026	240,000	187,000
NAKIWALA AGNES	25/04/2026	180,000	123,000
NAWAMUNDU MARY	24/04/2026	240,000	170,000
NATURINDA WILBER	24/04/2026	600,000	470,000
NAMUKWAYA SYLVIA	24/04/2026	240,000	196,000
NAKINTU JOAN	24/04/2026	300,000	222,000
NIYONSENGA ERICK	23/04/2026	360,000	226,000
NAMIREMBE PROSSY	23/04/2026	300,000	220,000
TUGUME JULIUS	22/04/2026	480,000	336,000
SSALI DANIEL	22/04/2026	240,000	158,000
BABIRYE JULIET	22/04/2026	600,000	410,000
NAKIGANDA CAROL	21/04/2026	600,000	372,000
LUBEGA ABASI	21/04/2026	180,000	60,000
NALUMANSI SAMALE	20/04/2026	360,000	60,000
NAKIBUKA AISHA	20/04/2026	360,000	228,000
EDUBE KALIFA	20/04/2026	300,000	60,000
ONDURU SCOVIA	20/04/2026	540,000	60,000
TUMUHIRWE PRISCA	19/04/2026	960,000	544,000
SENKUNGE STEVEN	18/04/2026	540,000	319,000
KATINKA EASTER	18/04/2026	480,000	176,000
KABIRI HENRY	18/04/2026	120,000	30,000
KABIRI HENRY	18/04/2026	120,000	30,000
OMONGOLE FRANCIS	17/04/2026	360,000	180,000
NANYONGA EDRINE	17/04/2026	180,000	75,000

NAMES	LOAN DATE	LOAN AMOUNT(UGX)	SHORTAGE AMOUNT(UGX)
NABWERU SALIMA	17/04/2026	360,000	205,000
MUNGAGWA ENOCK	17/04/2026	360,000	201,000
MULINDE ABDUL	17/04/2026	360,000	202,000
MULINDE ABDUL	17/04/2026	360,000	202,000
ANGOLLA HELLEN	17/04/2026	480,000	160,000
NAWANGI ALICE	16/04/2026	240,000	60,000
TURYASINGURA GIDEON	15/04/2026	360,000	188,000
OBARE FRANCIS	15/04/2026	360,000	272,000
TUMWEBAZE IVAN	14/04/2026	240,000	96,000
TUMUREBIRE ONESMUS	14/04/2026	300,000	160,000
OWEKIMU JULIUS	14/04/2026	180,000	94,000
OMURISA JOSIAN	14/04/2026	360,000	176,000
NANYONJO ROSE	14/04/2026	420,000	230,000
NAMWEMBA FATIA	12/04/2026	240,000	126,000
NAMUTEBI DOREEN	12/04/2026	240,000	106,000
KIGOYE JOHNBOSCO	12/04/2026	600,000	256,000
MUHINDO GERALD	11/04/2026	300,000	156,000
KASANGAKI WALTER	11/04/2026	240,000	90,000
ZIRUTAYI MARIA	10/04/2026	360,000	60,000
NTAMBI JAMES	10/04/2026	300,000	108,000
NANZIRI DEBORAH	10/04/2026	360,000	60,000
NAMARA PHEOBE	09/04/2026	480,000	114,000
KYATUHIRE PENINAH	09/04/2026	240,000	12,000
YIGA MUSA	07/04/2026	420,000	134,000
ENYANGU MOSES	07/04/2026	420,000	60,000
ACHOLA CAROLINE	07/04/2026	360,000	218,000
KOBUSINGYE SHEILA	06/04/2026	360,000	122,000
KOBUSINGYE SHEILA	06/04/2026	360,000	122,000
BALIGEYA FRANK	05/04/2026	600,000	70,000
SSESANGA IBRAHIM	04/04/2026	420,000	60,000
LUBOWA SHALIF	04/04/2026	300,000	85,000
BAMUREYANA KIZA	04/04/2026	300,000	112,000
NANTUME BRENDA	03/04/2026	360,000	86,000
BOSA DANIEL	03/04/2026	300,000	37,000
WANADAYA ENOCK	01/04/2026	360,000	170,000
TUMUSIIME BIRUNGI	01/04/2026	420,000	15,000
SEMATIMBA STEVEN	01/04/2026	480,000	98,000
NASSEJJE JULIET	01/04/2026	360,000	60,000
KAYAGA ALLEN	30/03/2026	360,000	145,000
DAMBA FATUMAH	30/03/2026	300,000	163,000
BATENDE RONAH	30/03/2026	420,000	162,000
MUSIKA NAOME	28/03/2026	360,000	49,000

NAMES	LOAN DATE	LOAN AMOUNT(UGX)	SHORTAGE AMOUNT(UGX)
NSEREKO FRED	27/03/2026	360,000	42,000
KIYINGI PIUS	27/03/2026	360,000	140,000
NANYONJO JOSEPHINE	26/03/2026	360,000	94,000
KIWANUKA GEOFFREY	25/03/2026	120,000	7,000
NDIKIBULIRANI MARY	24/03/2026	360,000	54,000
SEGIN SALIM	23/03/2026	300,000	30,000
NATUMANYA DAMALI	23/03/2026	300,000	54,000
NAGASHA JULIAN	23/03/2026	480,000	87,000
NAKAGOLO AISHA	22/03/2026	300,000	18,000
ARIMPISA HILLARY	22/03/2026	300,000	64,000
NAKATO IMMACULATE	20/03/2026	300,000	70,000
KIRIISA BENEDICTOR	20/03/2026	720,000	310,000
TURINAWA ALLEN	19/03/2026	420,000	62,000
NABUKENYA SARAH	16/03/2026	480,000	225,000
NAKIGANDA CAROL	14/03/2026	540,000	90,000
NAKAYIGO FAZIRA	10/03/2026	360,000	159,000
RUKUNDO SHAKILLAH	27/04/2025	240,000	50,000
NAMULINDWA ANNET	16/04/2025	600,000	130,000
KABAGAYA HARRIET	12/04/2025	240,000	137,000
TOTAL			16,139,000 Ugx

Note: The attached client schedule contains the detailed listing of all affected clients and loan amounts audited.

Prepared by:

Internal Audit Department

Lendsup Financial Services Ltd